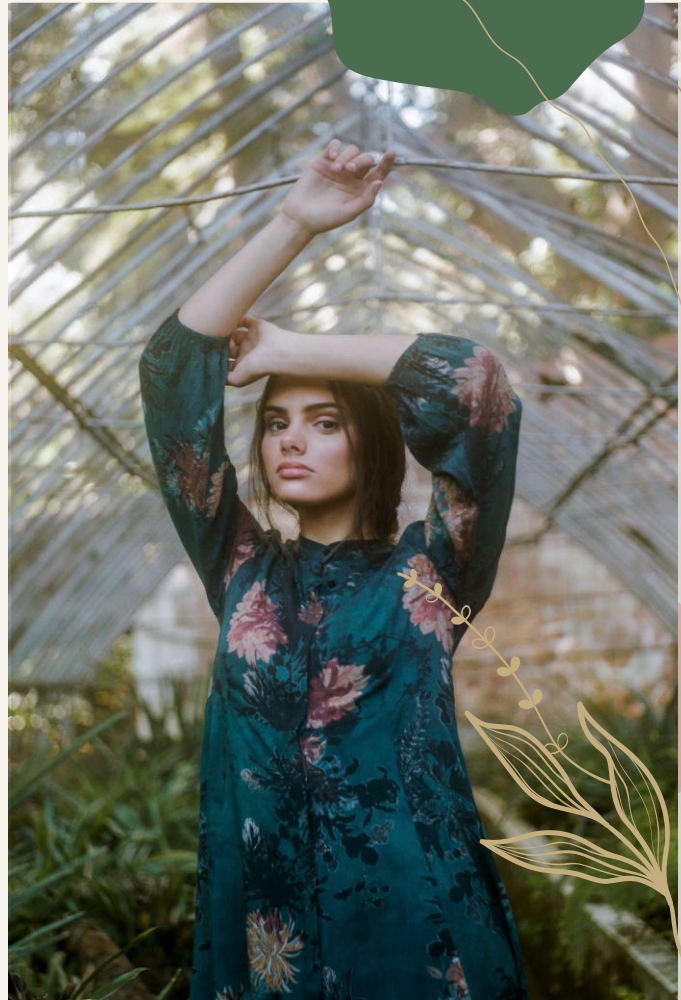




# Summer Fashion E-Commerce Insights

## Sales, Sentiment, and Strategy Analysis

Wish.com confidential  
15.03.2024





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# Objective of the Report

Analyze Wish.com's sales performance and identify key factors influencing sales.

Assess customer sentiment and its correlation with sales data.

Evaluate the pricing strategy and its impact on sales volume.

Examine merchant performance metrics and their contributions to Wish.com's overall success.

## Overview of Wish.com

### A Brief History

Wish.com was established in 2011 by former Google software engineer Peter Szulczewski. Initially, the company began as ContextLogic, a software business focusing on advertising and online discovery. Szulczewski, alongside his co-founder Danny Zhang, pivoted ContextLogic to the e-commerce model, leading to the creation of Wish.com. The platform was envisioned to offer an intuitive, mobile-first shopping experience that leveraged a global network of direct suppliers to offer affordable goods.

### Unique Market Position

Wish.com carved out a unique space in the e-commerce market by emphasizing a mobile-first approach. This strategic choice appealed to the growing number of consumers using smartphones for online shopping. Their emphasis on affordability attracted a demographic of price-sensitive customers seeking value for money. The platform uses advanced algorithms to personalize shopping feeds, making product discovery an engaging experience for users. The combination of a wide product assortment, competitive pricing, and a user-friendly interface positioned Wish.com distinctively in the e-commerce landscape.

# Position in the E-commerce Market

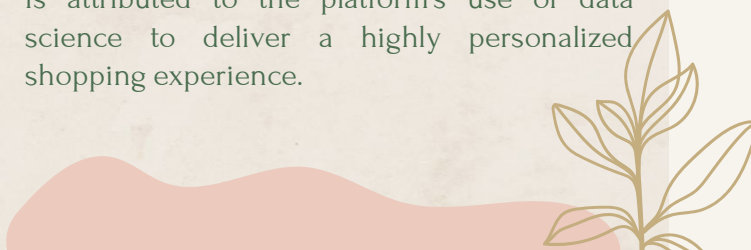


## Role as a Facilitator

Wish.com operates as a facilitator in the e-commerce arena, connecting merchants primarily from China with a global customer base. Unlike traditional retailers, Wish does not maintain inventory, significantly reducing overhead costs. This business model allows for a diverse range of products to be offered at extremely competitive prices.

## User Base and Partnerships

With over 100 million registered users on its app, Wish.com has a massive audience. The platform's success is built on its partnerships with more than 500,000 merchants. These partnerships have been instrumental in Wish.com's ability to provide an extensive array of products. The high user engagement is attributed to the platform's use of data science to deliver a highly personalized shopping experience.



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# Sales Performance Analysis

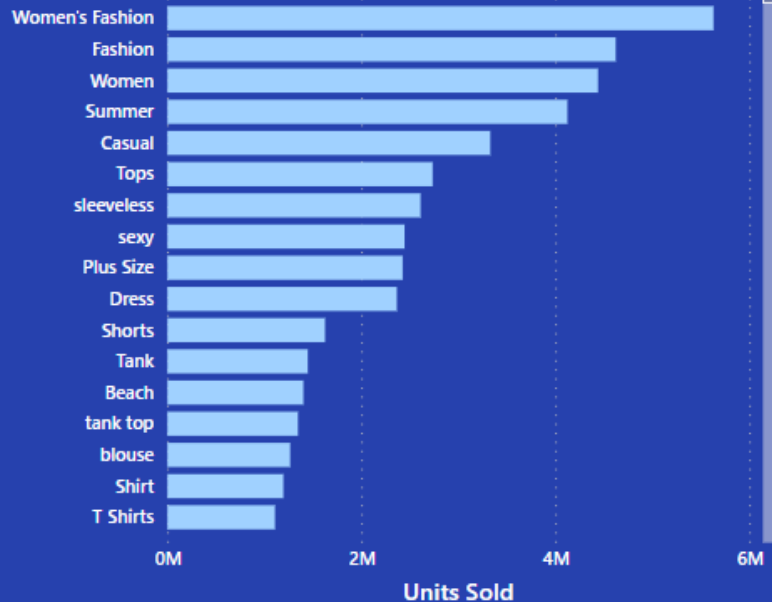
6M

Total Units Sold

52M

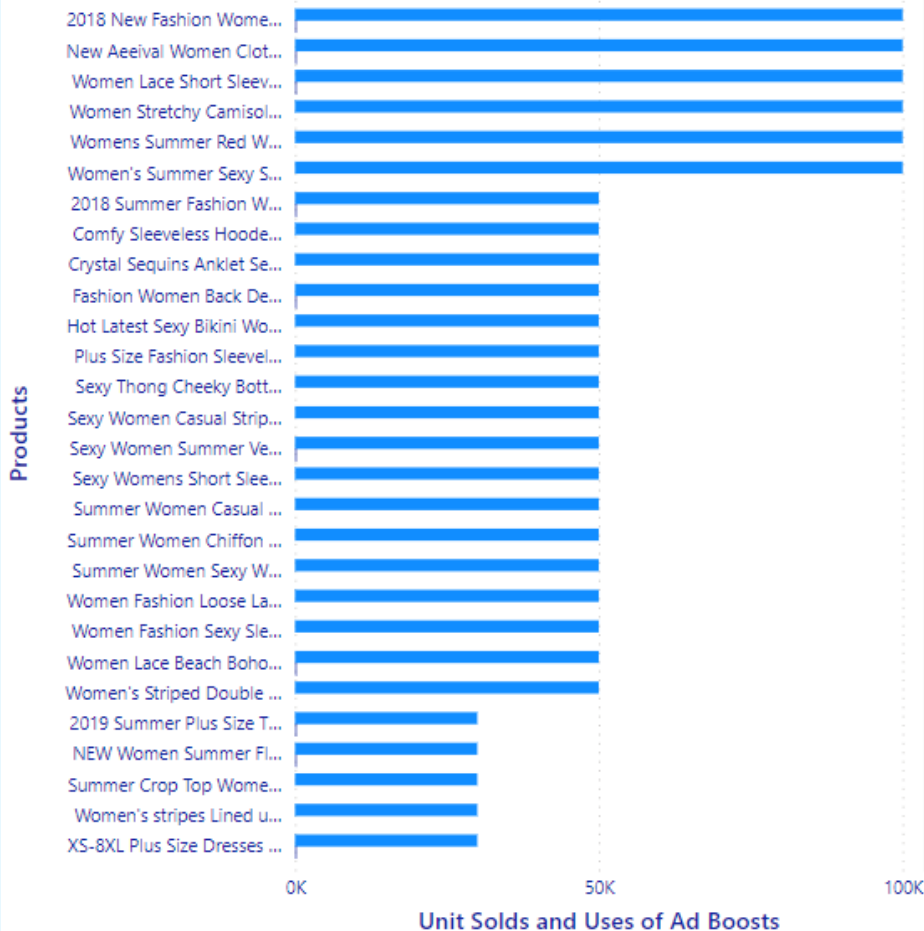
Total Sales (€)

## Most Popular Tag



## Top Products by Units Sold

● Unit Sold ● Uses of Ad Boosts



# Sales Performance Report

## Sales Overview

**Total Units Sold:** 6 Million

**Total Sales Revenue:** €52 Million (total of all units\_sold \* price)

} These figures indicate a robust sales volume and significant revenue generation, pointing towards a healthy market demand for the products offered.

## Product Analysis

**Most Popular Tags:** Women's Fashion, Fashion, Women, Summer, Casual

**Top Products by Units Sold:** The top-selling products range from fashion items to seasonal wear, with 6 products being the best performers. All of them are women products.

The data reflects a strong consumer inclination towards women's fashion, especially for seasonal and casual wear.

## Strategic Insights

**Product Focus:** With 'Women's Fashion' and 'Summer' as the most popular tags, there is an opportunity to enhance the product lineup in these categories, especially in anticipation of seasonal demand spikes.

**Marketing Strategy:** Utilizing ad boosts effectively has shown to correlate with increased sales (3 out of 6 best products used ad boosts). A strategic allocation of marketing resources towards high-performing products could enhance visibility and drive further sales.

## Recommendations

**Inventory Management:** Stock up on high-performing tags and products, particularly 'Women's Fashion' and 'Summer' lines, to meet anticipated demand.

**Marketing Allocation:** Increase ad boosts for top-tier products while testing effectiveness on mid-tier products to optimize ad spend.

**Data-Driven Restocking:** Use the sales performance data to make informed decisions on inventory restocking, reducing overstock and stockouts.

# Customer Sentiment Analysis

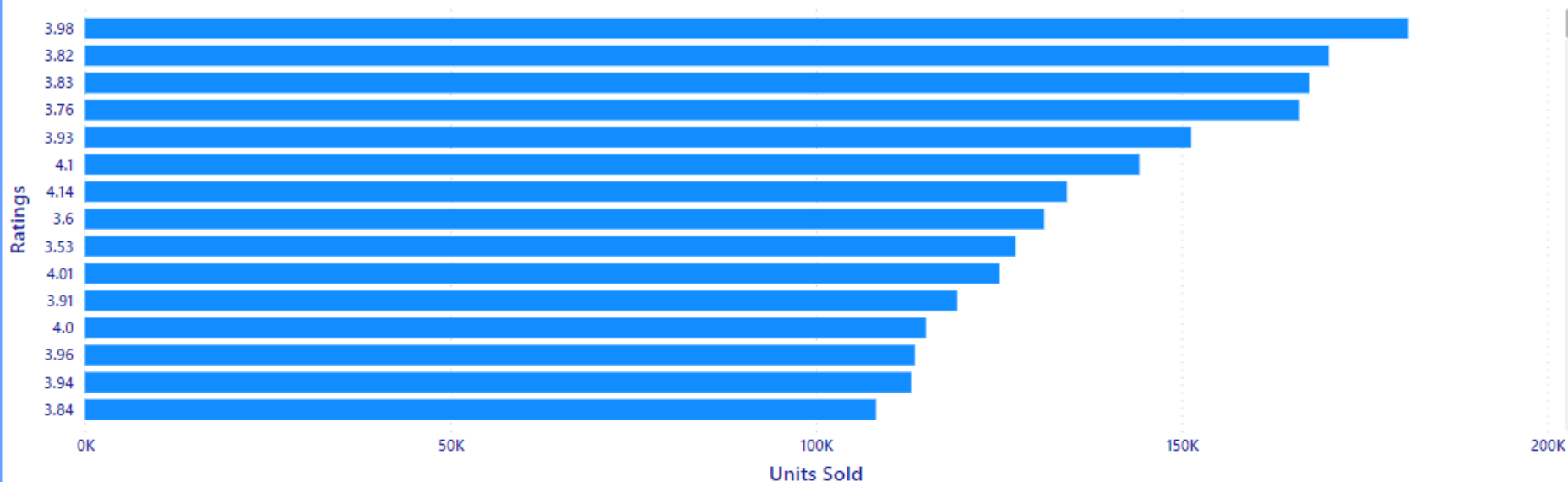
3,39

Average of rating

Women Stretchy Camisole Spaghetti Strap Long Tank Top Slip Mini Dress 4Color SIZE XXL is available Now  
Rating: 4.1 - Units Sold: 100000  
Best Rated Product

Women Plaid Stripes T Shirt V-neck Short Sleeve Blouse  
Rating: 2.0 - Units Sold: 2  
Worst Rated Product

Units Sold by Ratings





## Customer Ratings Overview

**Average Product Rating:** 3.39 out of 5 (suggests there is room for improvement in overall customer satisfaction!)

**Best Rated Product:** Women's Stretchy Camisole Spaghetti Strap Long Tank Top Slip Mini Dress - Rating 4.1 with 100,000 units sold (signaling a strong market approval)

**Worst Rated Product:** Women's Plaid Stripes T-Shirt V-neck Short Sleeve Blouse - Rating 2.0 with 2 units sold (indicating a need for critical reassessment)

The disparity in ratings and sales volume highlights the importance of product quality and customer satisfaction on sales performance.

## Sales and Ratings Correlation

The analysis demonstrates that higher-rated products tend to have higher sales. Products with ratings around 4.0 and above show significantly greater unit sales, implying customer satisfaction plays a pivotal role in purchasing decisions.

## Strategic Insights and Recommendations

**Enhance Quality Control:** Focus on product quality for lower-rated items to improve ratings and potentially increase sales.

**Customer Feedback Utilization:** Actively seek customer feedback on lower-rated products and address common issues.

**Marketing Emphasis on High Ratings:** Highlight positive customer ratings in marketing campaigns to bolster consumer trust and sales.

**Sales Forecasting:** Utilize ratings data to predict and manage inventory for high-performing products.

## Future Actions

Implement a feedback loop with customers to improve product offerings continually.

Adjust marketing strategies to spotlight high-rated products.

Conduct periodic reviews of product ratings to identify trends and address emerging issues proactively.





# Pricing Strategy Analysis

3.82

Average Rating for Products with Price > Retail Price

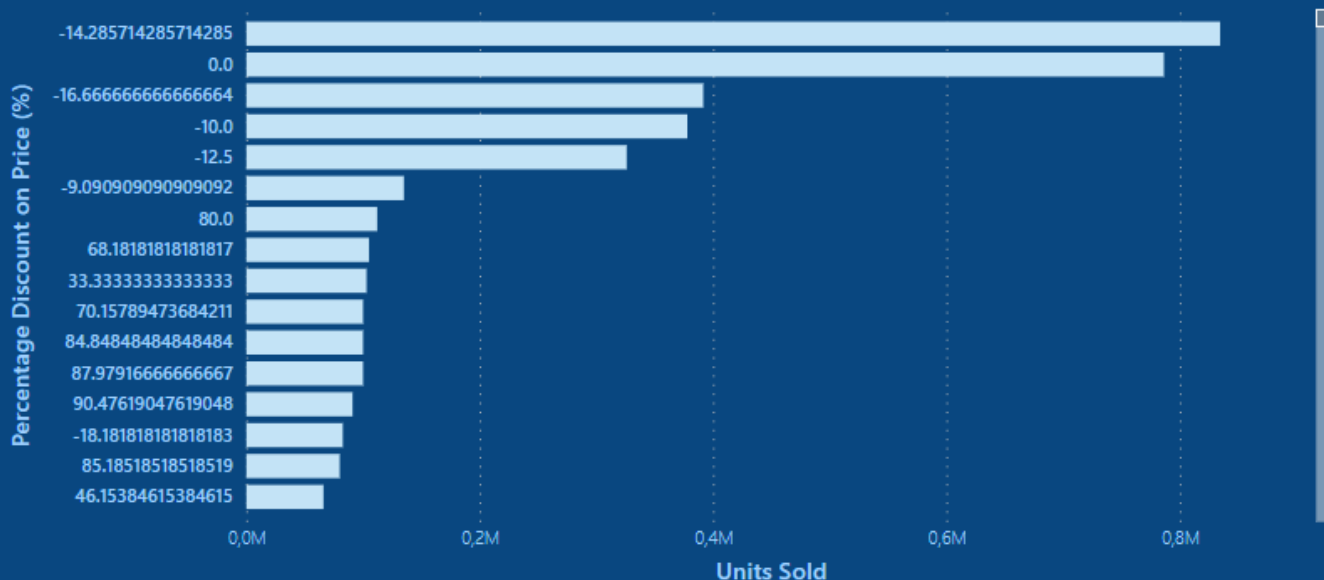
2M

Total Units Sold for Products with Price > Retail Price

477

Products with Price > Retail Price

## Price Discount Impact



8,33

Average Price

23,83

Average Retail Price

105M

Total Sale Loss (€)

# Pricing Strategy Report

## Pricing Overview for Pricier Products

**Average Product Rating:** The products sold above the retail price hold an average rating of **3.82**, indicating relatively high customer satisfaction even at a premium price point.

**Total Units Sold:** 2 Million, showcasing strong sales performance for products priced higher than the average market rate.

**Number of Products:** 477 products were sold above the retail price, suggesting a diverse range of items successfully sold at a premium.

**Price Discount Impact** ( $\text{discount\%} = ((\text{retail\_price} - \text{price}) / \text{retail\_price}) * 100$ ). If  $\text{discount\%} < 0$ , it means the price is higher than retail price.

**Premium Pricing (Negative Discount):** Products priced above retail have yielded high sales volumes, suggesting that customers perceive these products as having high value or desirability.

**Discounted Pricing (Positive Discount):** While discounts have predictably driven sales, the highest sales volumes have not been from the most heavily discounted items, indicating a complex relationship between discount level and sales performance.

## Financial Implications

**Average Selling Price:** €8.33, compared to the **Average Retail Price:** €23.83. This substantial difference indicates an aggressive discounting strategy.

**Total Sales Loss:** €105 Million. This figure represents the opportunity cost of selling items at a discounted rate rather than at full retail price.

## Strategic Recommendations

**Optimize Discount Rates:** Analyze the optimal discount rate that encourages sales without significantly eroding profit margins.

**Evaluate Price Elasticity:** Investigate the price sensitivity of our customers to understand how changes in pricing affect sales volumes.

**Customer Perception of Value:** Consider how pricing above retail affects customer perception of value and adjust marketing messages accordingly.

**Reassess High-Priced Products:** For products priced above retail that have lower sales volumes, consider price adjustments or additional value propositions to increase sales.

# Merchant Performance

Best Performed Merchant

## FashionForChanny

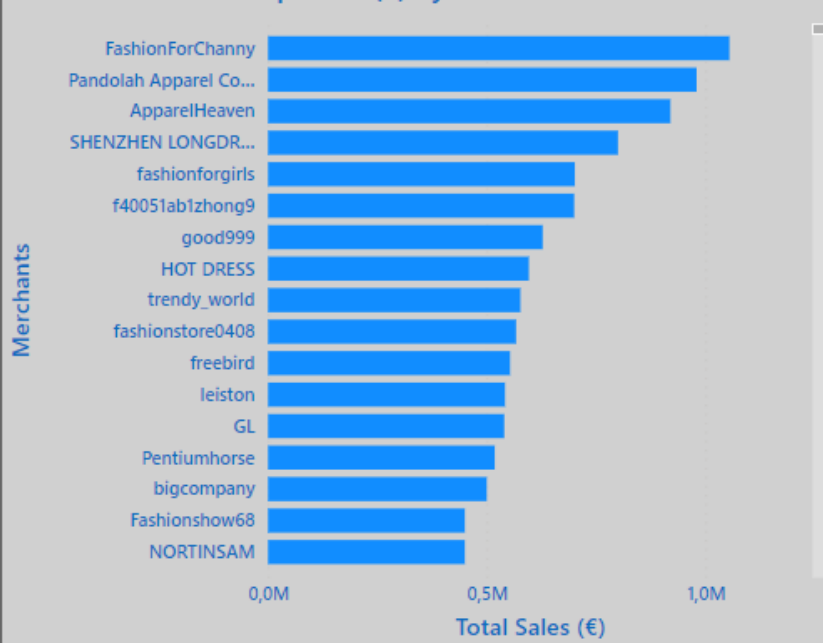
Total Sales: 10550000€ - Units Sold: 750000 - Rating: 4.26

Worst Performed Merchant

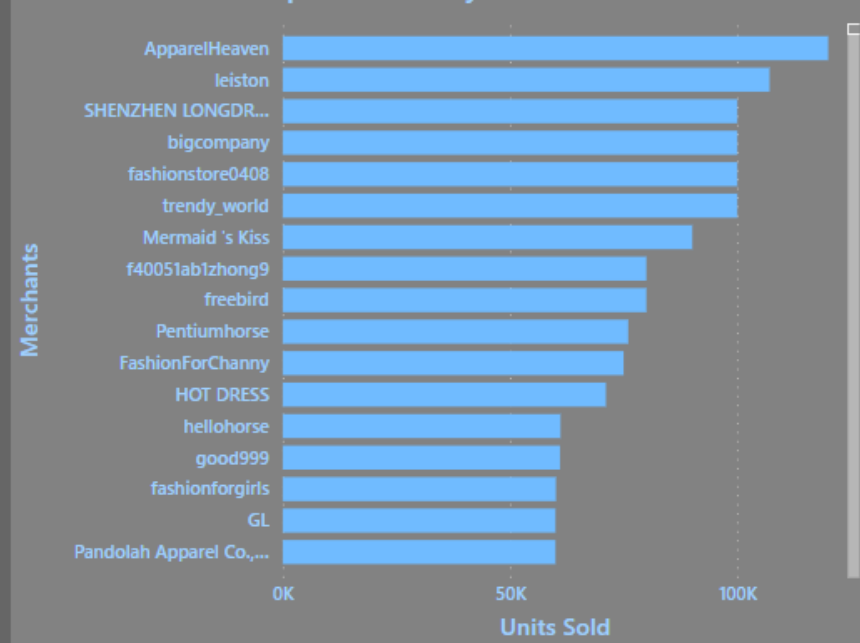
## Kyiswen

Total Sales: 2.72€ - Units Sold: 1 - Rating: 3.60

### Top Sales (€) by Merchants



### Top Units Sold by Merchants



# Merchant Performance Analysis Report



## Best Performing Merchant: FashionForChanny

**Total Sales:** €10,550,000

**Units Sold:** 750,000

**Rating:** 4.26

FashionForChanny has demonstrated exceptional performance with impressive sales figures and a high volume of units sold. Their strong customer satisfaction rating indicates effective business practices and product desirability.

## Worst Performing Merchant: Kyiswen

**Total Sales:** €2.72

**Units Sold:** 1

**Rating:** 3.60

Despite Kyiswen's low sales and unit volume, their rating remains above average, which could indicate issues unrelated to product quality, such as market visibility or customer reach.

## Sales Distribution Insights

Top-performing merchants, such as SHENZEN LONGDRAGON TECHNOLOGY CO.,LTD and ApparelHeaven, show notable sales and unit solds figures, suggesting that there are several key players in our network contributing to a diverse market presence.

## Recommendations

**Best Practice Sharing:** Initiate a program where successful merchants like FashionForChanny can share strategies with other merchants.

**Marketing and Visibility Support:** Provide additional marketing support to merchants with high ratings but low sales to increase their visibility.

**Performance Incentives:** Implement incentive programs to encourage merchants to enhance their product offerings and customer service.

# Conclusion

## Market Position and Strategy

An evaluation of Wish.com's positioning in the e-commerce market, including its mobile-first strategy, pricing tactics, and its role as a facilitator rather than a holder of inventory.

## Customer Engagement and Satisfaction

Insights on customer engagement based on user interaction with the platform, product ratings, and reviews. Strategies for enhancing customer satisfaction and retention might be included.

## Merchant Performance

A review of merchant performance metrics from Wish.com, identifying high-performing merchants and areas for support among lower-performing merchants to improve sales and customer satisfaction.

## Financial Performance

An analysis of the financial implications of Wish.com's business model, including sales data, profitability, and revenue generation strategies.

## Strategic Recommendations

Based on the analysis, strategic recommendations for Wish.com to enhance its competitive advantage, increase profitability, and improve customer and merchant satisfaction.

## Future Outlook

A forward-looking perspective based on current trends, potential market changes, and upcoming strategic initiatives that could impact Wish.com's business.